

GLOBAL FX TRADER

Divided We Carry

Our thoughts on USD, CNY, European satellites, CAD & MXN, HUF & PLN, ILS, and G10 Carry

- **USD: Forecast feedback.** Last week we revised our forecasts to show modest Dollar appreciation against the Euro and Yen over the rest of the year, and we are making a few related tweaks this week to other Euro crosses. At the same time, we revised some of our EM FX forecasts to show further strength and have emphasized the importance of carry as a driver for total returns in both EM and the G10; we expect more divided Dollar returns to continue. In the near term, investors see some risk to our forecast for Dollar strength in G10 from our economists' view that the Fed will stay on hold this year. We agree that should likely be a headwind for the Dollar in coming months, but only a modest one. While pricing for the next few meetings reflects uncertainty about the policy tactics, recent volatility in rates across the curve continues to reflect moves in oil prices. But as that settles down, upgraded investment expectations from the AI boom should be positive for the currency. Over the more medium term, investors are concerned that the Dollar's depreciation trend should resume before too long given its lofty valuation. We still see this as a risk, but think it is at least delayed. In our view, FX valuation played an important role in returns last year because the factor that had preserved the Dollar's strength—superior asset return prospects—looked less likely. We note that the valuation gap is much narrower now than at the start of 2025, and more concentrated in Asia (we still expect it to play a key role in policy-supported CNY strength—more in the CNY bullet). But against the G10, the focus on valuation coincides with relative cross-border investment demand, and we think this has shifted substantially since the start of the year. According to our GSBEER model, the Euro outperformed other cyclical indicators like rate differentials by about 5pp in 2025, and we think the data demonstrates this reflected reduced demand for Dollar exposure from foreign investors. We see room for this to reverse somewhat, with a serious questioning of AI investment returns the more significant risk to our expectations of modest Dollar strengthening.
- **CNY: Not so fast.** Dollar strength over the past month, particularly against low-yielding currencies in G10 and EM, has led to question marks about whether CNY appreciation can continue against that backdrop. Offshore CNH has closed the gap to the fix, typical behaviour in a rising Dollar environment, and the

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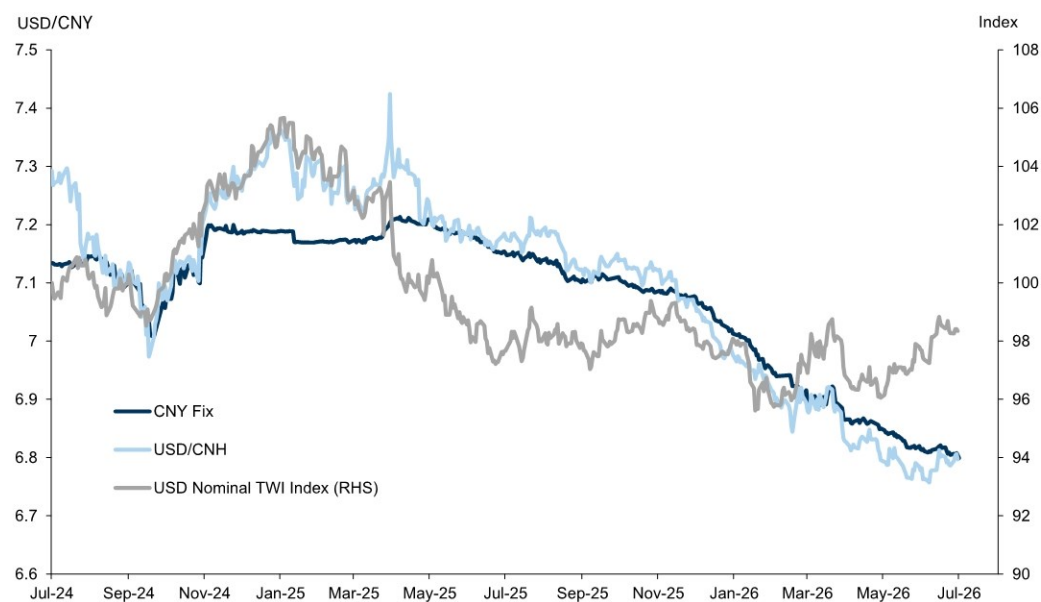
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combination of low yield and low volatility has led to some short positioning in carry harvesting structures or as a hedge for a stronger Dollar. However, while the CNY appreciation pace may have slowed recently, we do not think that this signals the end of the move stronger. The upcoming monthly trade data are likely to reinforce the overall picture of historic export strength and currency undervaluation, and with producer price inflation topping out as well, we continue to see sustained but gradual nominal currency appreciation as an equilibrium outcome. Policy authorities also continue to appear more comfortable with such a path, which may serve to deflect protectionist pushback from other parts of the world. Reflecting this, it is striking that even in this somewhat firmer Dollar backdrop, the USD/CNY fix has made new lows in the last couple of weeks, and on Friday, broke below 6.80 for the first time since early 2023 ([Exhibit 1](#).) We continue to expect a gradual grind stronger in the Renminbi, targeting 6.50 for USD/CNY in 12 months, and expect it to outperform other low-yielders such as EUR or SGD.

Exhibit 1: CNY has continued to fix stronger despite firmer Dollar



Source: Goldman Sachs FICC and Equities, Goldman Sachs Global Investment Research

- European satellites: Euro hopping.** We run through our latest European FX views and forecasts following [our EUR/USD downgrade last week](#). **Sterling** outperformance has accelerated in July, with recent gains supported by premium compression, short-GBP positioning unwinds, and an exceptionally strong pace of [cross-border M&A inflows](#), in our view. Sterling's gains in recent weeks have been [at odds](#) with shifting rate differentials though, which we think raises the risk of a reversal weaker in the near term. We also [continue to see](#) key challenges to Sterling in the longer-term—most notably [overvaluation](#) and an on-hold BoE—though a procyclical global backdrop and the potential for [closer UK-EU ties](#) push in the opposite direction. We mark-to-market our EUR/GBP forecasts to look for more modest Sterling underperformance ahead ([Exhibit 2](#)), and [continue to see](#) more room for Sterling shorts to clear the forwards in GBP/USD than in EUR/GBP. The

Scandi currencies have seen sharp divergence in recent months on account of the energy shock, with higher-for-longer oil prices providing durable support for NOK in our view, and evidence of a stickier terms of trade imprint on NOK/SEK so far. Longer-term, there remain more tailwinds (procyclical macro backdrop, solid fiscal and valuation fundamentals) than headwinds (higher global yields, European cyclical risks post-energy shock) for Scandi FX performance in our view. We adjust our Scandi FX forecasts to account for the post-oil-reset price action, but continue to look for steady NOK and SEK gains versus EUR over the coming year (Exhibit 2). And finally, the **Swiss Franc** continues to screen favourably as a funding currency, with a potential shift in SNB intervention policy less of a concern for CHF funding now after recent data has pointed to subdued domestic inflation pressures. And in an environment where many other central banks are hiking or considering hikes, a firmly on hold stance puts the SNB on the dovish end of the central bank spectrum. This dovish divergence, waning inflationary pressures as energy prices decline, and a broadly risk positive backdrop should weigh on the Franc. Taken together, we expect some continued CHF underperformance in the near term, though an eventual resumption in the gold rally remains a key risk to longer-term CHF funding via its terms of trade linkages.

Exhibit 2: Our revised European FX Forecasts

	Spot	New Forecasts			Previous Forecasts		
		3m	6m	12m	3m	6m	12m
EURUSD	1.14	1.14	1.12	1.12	1.14	1.18	1.20
GBPUSD	1.34	1.33	1.29	1.28	1.33	1.34	1.33
USDCHF	0.81	0.81	0.82	0.82	0.80	0.76	0.73
USDNOK	9.77	9.56	9.55	9.38	9.30	8.98	8.75
USDSEK	9.65	9.65	9.73	9.55	9.65	9.15	8.75
EURNOK	11.16	10.90	10.70	10.50	10.60	10.60	10.50
EURSEK	11.03	11.00	10.90	10.70	11.00	10.80	10.50
EURGBP	0.85	0.86	0.87	0.88	0.86	0.88	0.90
EURCHF	0.92	0.92	0.92	0.92	0.91	0.90	0.88
NOKSEK	0.99	1.01	1.02	1.02	1.04	1.02	1.00

Source: Goldman Sachs Global Investment Research

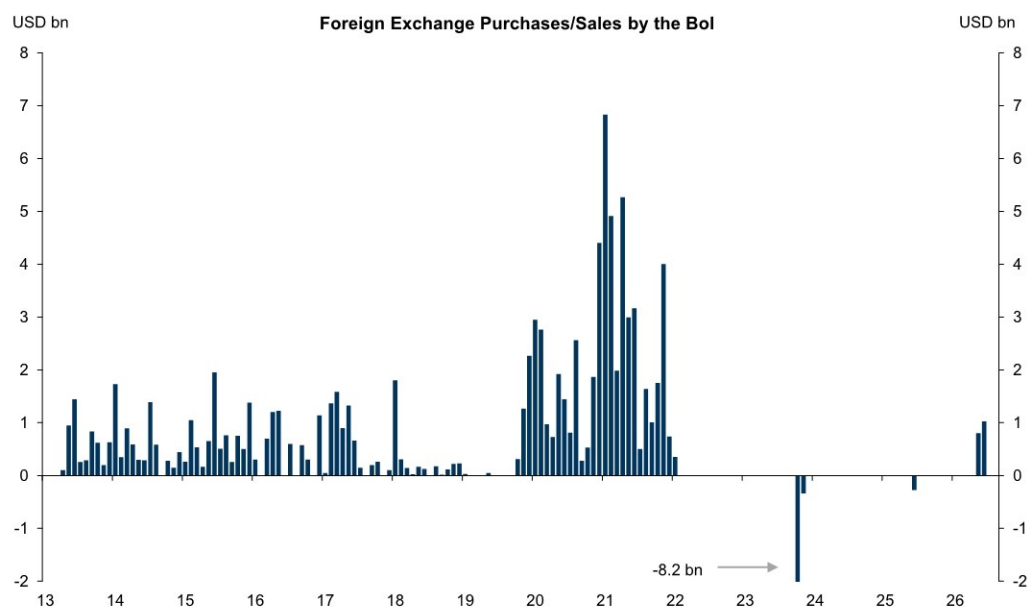
- **CAD & MXN: USMCA into extra time.** US Trade Representative Greer recently announced that the US decided against renewing USMCA and will instead conduct annual reviews in line with our expectation that negotiations would likely extend past the July 1 deadline. We have argued for CAD funding for much of this year, given its ability to reduce risk exposure and improve carry relative to Dollar funding. Those attributes remain intact and ongoing negotiations should continue to weigh on CAD via a wider USD-CAD rate differential as uncertainty remains elevated and the likelihood that US-Canada talks will prove more difficult than with Mexico. That said, the argument for sharper spot depreciation in CAD from here appears less compelling after the substantial underperformance over the past two months and some recent improvement in the domestic data, including this week's employment report which added to recent signals of a gradual recovery in Canadian activity. Meanwhile for Mexico, the government has framed recent developments as more

positive with a focus on the left-tail scenario of a unilateral US withdrawal having been avoided ahead of the July 1 deadline. A US delegation is due to travel to Mexico on July 20, so headlines regarding USMCA discussions may be in focus for MXN at that time. Our broader take is that USMCA negotiations should have a limited impact on MXN because tensions have been less elevated than in Canada's case, but the trade relationship itself is an important long-run anchor for the currency, and at current strong levels there is very little premium for a significant break in that relationship. And while domestic activity has remained weak—and this has driven Banxico to cut rates and narrow the Mex-US rate differential to historically low levels—MXN performance has been less impacted by local factors, in contrast with CAD. Instead, the Peso has traded more in line with its global betas, including its high sensitivity to relative US equity outperformance. Plus, there are tentative signs that Mexican activity data is starting to recover, though our economists expect trade-policy uncertainty to continue to weigh on investment. Bottomline, while in our baseline we don't expect USMCA negotiations to be a primary driver of spot moves in either currency, a significant rupture in the trading relationship should lead to underperformance, and more so in MXN than CAD given starting levels.

- **HUF & PLN: Huffing and puffing.** The Hungarian Forint and Polish Zloty have been relative underperformers at different points this week due to the rise in oil prices and, in the case of PLN, a dovish NBP meeting. On the first factor, our analysis suggests that the HUF and PLN moves have been broadly consistent with betas to oil price shifts since early March, indicating that the ups and downs in oil prices this week played an important role. And more broadly, we think the drift lower in EUR/USD has also been an important factor over the last month for these crosses and should continue to be a headwind under our forecasts for further Euro depreciation. That said, in the case of Hungary, we have argued that EU funds inflows can more than offset the energy balance impact of higher energy prices, such that this vulnerability to higher energy prices should be lower than in 2022. As such, we ascribe the large move in EUR/HUF on Wednesday to positioning dynamics in addition to the move in oil. We think the fundamental case for further HUF appreciation and limited depreciation risks is still in place, and we think the reversal of Wednesday's sharp move can extend further. Still, with the local story now well understood, EUR/HUF may continue to be more responsive to global factors over the near term, until fresh catalysts emerge—for example, our economists expect a lower inflation target to be announced in late 2026. This, together with continued inflows into local bonds, should continue to place appreciation pressures on the Forint in our view. In the case of PLN, we have held the opposite view: that is, after outperforming in 2023-2024, the asymmetry was towards PLN weakening as appreciation tailwinds, which included a hawkish NBP, faded. In this context, the Zloty weakening on the back of the NBP's dovish shift this week makes sense. This shift in stance also comes at a time when global rates are re-pricing higher and FX investors are looking for low-yielding currencies that can serve as funders for carry trades. The scope for NBP rate cuts, a still overvalued Zloty, and Governor Glapinski's comments on not being worried by recent PLN weakening all would argue for using PLN as a funder in our view.

- **ILS: Intervention intention.** We have argued that the Shekel is an attractive hedge for portfolios highly levered to the performance of the technology sector equities (which is really most portfolios at this point), and that it can also serve as a funder for broader carry portfolios. This is due to the Shekel's high sensitivity to tech stocks, its overvaluation signal, the slight positive carry for being short, and growing policy pushback against a stronger currency. On that last point, we highlighted the Bank of Israel's dovish shift in late May, when it cut rates and began intervening in FX markets by buying Dollars for the first time since 2022. Over the past week, this policy stance has remained in place: the Bol delivered another 25bp cut to 3.50%, and the staff projections now show a policy rate projection that is 50bp lower, reaching 3.00% by 2027Q2. Notably, Governor Yaron remarked that ILS strength poses a key challenge to the export and high-tech sectors. The Bol's reserves data for June was also released this week and showed around \$1bn in USD purchases, following ~\$800 million in May (Exhibit 3). This is still below average monthly purchases of \$2.2bn between 2019–2022, but does nonetheless signal an important shift in FX policy. In our view, this makes the asymmetry for holding ILS shorts more attractive as further appreciation in an environment of strong tech performance may be capped by central bank policy.

Exhibit 3: The Bank of Israel purchased Dollars in both May and June

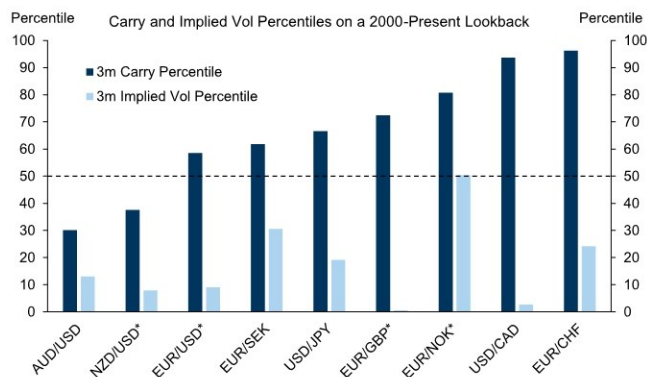


Source: Haver Analytics, Goldman Sachs Global Investment Research

- **The G10 carry comeback.** We argued recently that carry bears more relevance for G10 FX markets now than it has at virtually any other point since the year 2000, and we continue to see value in carry strategies funded by G10 low-yielders (JPY, CHF, EUR, CAD) in the months ahead. G10 FX currently boasts the combination of historically elevated levels of outright carry, and historically subdued levels of vol (Exhibit 4). A stabilisation in G10 policy rates at high and varied levels following the post-Covid inflation surge and recent energy shock has helped allow for this dynamic, but in practical terms for FX markets, it has produced exceptionally high

levels of carry-to-vol currently, including near multi-decade highs for the likes of EUR/CHF and USD/CAD ([Exhibit 5](#)). Another striking feature of the current G10 carry landscape is the breakdown in the relationship between carry and sensitivity to risk. This allows for high carry-to-vol offerings in crosses that have traded as risk-neutral in recent months, as well as relatively high carry-to-vol offerings in risk-off expressions (such as long Dollar versus SEK or NZD). We view the opportunity to earn carry in G10 FX while remaining relatively insulated from (or even hedged against) drawdowns in risk as a useful option in multi-asset portfolios in the current backdrop.

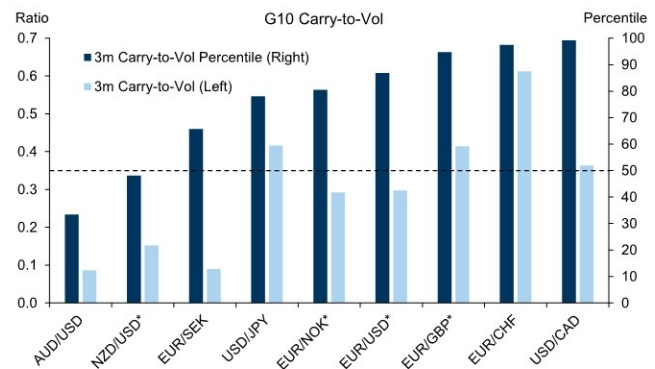
Exhibit 4: G10 FX markets currently boast the combination of historically elevated carry levels with historically subdued vol...



Pairs with an asterisk are inverted to achieve positive carry. Percentile rank estimated on a 2000-2026 lookback of absolute carry-to-vol ratios offered by each cross on daily data, 2016-2026 for EUR/CHF.

Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Exhibit 5: ... resulting in exceptionally high carry-to-vol offerings across G10 markets



Pairs with an asterisk are inverted to achieve positive carry. Carry-to-Vol represents the ratio of 3m forward-implied carry to 3m implied vol. Percentile rank estimated on a 2000-2026 lookback of absolute carry-to-vol ratios offered by each cross on daily data, 2016-2026 for EUR/CHF.

Source: Goldman Sachs Global Investment Research, Goldman Sachs FICC and Equities

Global FX Forecasts

	Current Spot	3-Month Horizon		6-Month Horizon		12-Month Horizon	
		Forward	Forecast	Forward	Forecast	Forward	Forecast
G10							
EUR/\$	1.14	1.15	1.14	1.15	1.12	1.16	1.12
£/\$	1.34	1.34	1.33	1.34	1.29	1.34	1.28
AUD/\$	0.69	0.69	0.72	0.69	0.73	0.69	0.74
NZD/\$	0.58	0.58	0.60	0.58	0.61	0.58	0.62
\$/CAD	1.42	1.41	1.40	1.40	1.38	1.39	1.38
\$/CHF	0.81	0.80	0.81	0.79	0.82	0.77	0.82
\$/NOK	9.72	9.74	9.56	9.75	9.55	9.78	9.38
\$/SEK	9.67	9.62	9.65	9.57	9.73	9.47	9.55
\$/JPY	162	161	162	160	163	158	165
EMEA							
\$/CZK	21.2	21.2	21.5	21.2	21.8	21.1	21.6
\$/HUF	312	314	311	314	313	315	308
\$/PLN	3.79	3.79	3.77	3.79	3.79	3.78	3.79
\$/RON	4.58	4.60	4.52	4.63	4.63	4.67	4.69
\$/RUB	78.80	78.80	80.0	81.07	85.0	85.43	90.0
\$/UAH	44.5	45.6	46.0	46.9	48.0	49.8	52.0
\$/TRY	46.91	50.60	48.0	54.60	50.0	63.69	54.0
\$/ILS	3.01	3.00	3.00	2.99	3.05	2.97	3.10
\$/EGP	49.7	51.6	49.0	53.4	48.0	56.9	46.0
\$/ZAR	16.33	16.45	16.50	16.57	16.00	16.80	15.75
\$/NGN	1378	1423	1325	1466	1300	1548	1250
Americas							
\$/ARS	1488	1564	1500	1659	1600	1847	1800
\$/BRL	5.12	5.23	4.90	5.33	5.00	5.53	5.00
\$/MXN	17.55	17.68	17.75	17.81	18.00	18.06	18.00
\$/CLP	928	928	920	927	900	926	860
\$/PEN	3.40	3.41	3.40	3.42	3.35	3.44	3.30
\$/COP	3291	3366	3350	3440	3300	3591	3200
Asia							
\$/CNY	6.79	6.76	6.80	6.72	6.70	6.63	6.50
\$/HKD	7.84	7.81	7.80	7.80	7.80	7.77	7.80
\$/INR	95.39	96.19	94.00	96.93	95.00	98.28	96.00
\$/KRW	1508	1503	1460	1499	1440	1492	1420
\$/MYR	4.08	4.07	3.90	4.05	3.80	4.03	3.70
\$/SGD	1.29	1.28	1.28	1.28	1.25	1.26	1.24
\$/TWD	32.2	32.2	31.5	32.2	31.0	32.3	30.5
\$/THB	33.43	33.25	34.00	33.07	33.50	32.68	33.00
\$/IDR	18084	18215	17000	18349	17100	18602	17200
\$/PHP	61.61	61.77	62.00	61.93	61.00	62.27	61.00
Euro Crosses							
EUR/GBP	0.85	0.86	0.86	0.86	0.87	0.87	0.88
EUR/CHF	0.92	0.92	0.92	0.91	0.92	0.90	0.92
EUR/NOK	11.12	11.17	10.90	11.23	10.70	11.35	10.50
EUR/SEK	11.05	11.03	11.00	11.02	10.90	11.00	10.70
EUR/CZK	24.25	24.33	24.50	24.38	24.40	24.52	24.20
EUR/HUF	357	360	355	362	350	365	345
EUR/PLN	4.33	4.35	4.30	4.36	4.25	4.39	4.25
EUR/RON	5.24	5.28	5.15	5.33	5.18	5.42	5.25
EUR/RUB	90.1	90.4	91.2	93.4	95.2	99.1	100.8

Note: Spot values are as of Wednesday's close.

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/fx-forecasts.html>

Source: Goldman Sachs Global Investment Research

Return Forecasts & Valuations

	Current Spot	Forecast: 12-Month Return (%)				GSDEER			GSFEER				
		Spot	Carry	Total	NEER	Estimate	Misalignment		Estimate	Misalignment		Average Estimate	PPP*
							Bilateral	Trade-Weighted		Bilateral	Trade-Weighted		
G10													
EUR/\$	1.14	-2.0	-1.5	-3.5	-1.5	1.19	-4%	8%	1.14	0%	0%	1.17	1.52
GBP/\$	1.34	-4.5	0.0	-4.5	-3.7	1.19	12%	26%	1.24	8%	8%	1.21	1.50
AUD/\$	0.69	6.6	0.5	7.1	4.1	0.79	-12%	9%	0.66	5%	11%	0.74	0.70
NZD/\$	0.58	7.7	-0.9	6.8	4.9	0.66	-13%	3%	0.58	-1%	1%	0.63	0.67
\$/CAD	1.42	2.7	-1.6	1.0	2.5	1.25	-12%	-7%	1.38	-2%	-1%	1.30	1.17
\$/CHF	0.81	-1.8	-4.0	-5.7	-0.7	0.86	7%	15%	0.824	2%	3%	0.85	0.92
\$/NOK	9.72	3.7	0.6	4.3	4.8	6.71	-31%	-24%	9.24	-5%	-6%	7.72	8.87
\$/SEK	9.67	1.2	-2.0	-0.8	2.2	7.40	-23%	-15%	9.38	-3%	-2%	8.19	8.26
\$/JPY	162.4	-1.6	-2.9	-4.5	-3.8	96	-41%	-32%	138	-15%	-12%	113	93
EMEA													
\$/CZK	21.22	-1.8	-0.4	-2.2	-0.3	25.6	21%	29%	21.9	3%	3%	24.14	15.82
\$/HUF	312	1.4	0.7	2.2	3.1	323	3%	10%	356	14%	13%	336	261
\$/PLN	3.79	-0.1	-0.3	-0.4	1.8	4.08	8%	16%	3.84	1%	2%	3.98	2.43
\$/RON	4.58	-2.3	1.9	-0.4	--	--	--	--	5.34	17%	14%	--	--
\$/RUB	78.8	-12.4	8.4	-5.1	-12.2	82.22	4%	21%	75.22	-5%	-1%	79.42	40.15
\$/UAH	44.51	-14.4	11.9	-2.5	--	--	--	--	--	--	--	--	--
\$/TRY	46.91	-13.1	35.8	17.9	-11.6	34.47	-27%	-24%	46.19	-2%	-2%	39.16	29.15
\$/ILS	3.01	-2.8	-1.4	-4.2	-1.9	3.73	24%	37%	3.26	8%	10%	3.54	4.70
\$/EGP	49.70	8.0	14.4	22.4	--	--	--	--	--	--	--	--	--
\$/ZAR	16.33	3.7	2.9	6.7	3.0	12.98	-20%	-12%	17	2%	4%	14.46	18.40
\$/NGN	1378	10.2	12.3	22.5	--	--	--	--	--	--	--	--	--
Americas													
\$/ARS	1488	-17.3	24.2	6.8	-18.5	--	--	--	--	--	--	--	--
\$/BRL	5.12	2.3	8.2	10.7	2.0	4.38	-14%	-1%	5.34	4%	6%	4.76	5.28
\$/MXN	17.55	-2.5	2.9	0.3	-3.3	20.36	16%	24%	17.88	2%	4%	19.37	20.29
\$/CLP	928	7.9	-0.3	7.6	6.9	680	-27%	-14%	861	-7%	-3%	752	787
\$/PEN	3.40	3.0	1.4	4.4	2.1	2.82	-17%	-7%	2.98	-12%	-11%	2.88	4.24
\$/COP	3291	2.8	9.1	12.2	2.3	3721	13%	28%	3820	16%	15%	3760	3298
Asia													
\$/CNY	6.79	4.5	-2.4	1.9	3.4	5.07	-25%	-16%	6.13	-10%	-6%	5.49	5.82
\$/HKD	7.84	0.5	-0.9	-0.4	-2.5	7.02	-10%	10%	6.81	-13%	-7%	6.94	5.85
\$/INR	95	-0.6	3.0	2.4	-1.7	85.63	-10%	-2%	87.05	-9%	-9%	86.20	57.50
\$/KRW	1508	6.2	-1.0	5.1	4.5	1195	-21%	-4%	1173	-22%	-23%	1186	929
\$/MYR	4.08	10.2	-1.2	8.9	7.4	3.30	-19%	-2%	4.10	1%	5%	3.62	1.95
\$/SGD	1.29	4.2	-2.6	1.5	1.3	1.36	5%	24%	1.33	3%	8%	1.35	0.57
\$/TWD	32.2	5.5	0.5	6.0	3.2	24.54	-24%	-6%	24.68	-23%	-20%	24.60	13.21
\$/THB	33.43	1.3	-2.2	-1.0	-0.8	32.35	-3%	18%	34.64	4%	9%	33.26	18.82
\$/IDR	18084	5.1	2.9	8.2	2.6	14438	-20%	-4%	16148	-11%	-6%	15122	10885
\$/PHP	61.61	1.0	1.1	2.1	-1.3	59.82	-3%	19%	63.68	3%	12%	61.37	52.56
Euro Crosses													
EUR/GBP	0.85	-2.6	1.5	-1.0	-3.7	0.99	17%	26%	0.92	8%	8%	0.96	1.01
EUR/CHF	0.92	0.3	-2.5	-2.3	-0.7	1.02	10%	15%	0.94	2%	3%	0.99	1.40
EUR/NOK	11.12	5.9	2.1	7.9	4.8	7.95	-28%	-24%	10.55	-5%	-6%	8.99	13.46
EUR/SEK	11.05	3.2	-0.5	2.8	2.2	8.77	-21%	-15%	10.71	-3%	-2%	9.55	12.54
EUR/CZK	24.25	0.2	1.1	1.3	-0.3	30.36	25%	29%	25.03	3%	3%	28.23	24.02
EUR/HUF	357	3.5	2.3	5.8	3.1	382	7%	10%	406	14%	13%	392	396
EUR/PLN	4.33	1.9	1.2	3.1	1.8	4.83	12%	16%	4.39	1%	2%	4.66	3.68
EUR/RON	5.24	-0.3	3.4	3.1	--	--	--	--	6.10	17%	14%	--	--
EUR/RUB	90.1	-10.6	9.9	-0.7	-12.2	97.45	8%	21%	85.9	-5%	-1%	92.8	--
Addendum													
USD	--	-1.1	-1.7	-2.6	-1.0	--	--	14%	--	--	3%	--	--

Note: USD returns average of all other currencies (except ARS, NGN and UAH) with opposite sign; *EM estimates adjusted for per capita income. Spot values as of Wednesday.

See dynamic table here (or click image above): <https://publishing.gs.com/content/themes/table.html?criteriaKey=1k2HGqQs2h>

Source: Goldman Sachs Global Investment Research

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We, Kamakshya Trivedi, Michael Cahill, Danny Suwanapruti, Teresa Alves, Karen Reichgott Fishman, Stuart Jenkins, Victor Engel and Lexi Kanter, hereby certify that all of the views expressed in this report accurately reflect our personal views, which have not been influenced by considerations of the firm's business or client relationships.

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